

Magnifi Financial

Member banding and lifetime value — segmentation in an institution the members own

Lifetime value is a straightforward idea in a shareholder-owned bank and a genuinely awkward one in a cooperative. If the members own the institution, ranking them by profitability is not obviously the right thing to do — which makes the design question interesting rather than technical.

~\$2.4B

assets

~85K

members

25+

branches

1939

chartered

1

value model,
reframed

1

action hub
above it

INSTITUTION CONTEXT · PUBLICLY REPORTED

Melrose, Minnesota · roughly \$2.4bn in assets and about 85,000 members · a leading agricultural lender in the state and an SBA preferred lender

Aditya Singh · Senior Manager — data insights and member analytics · 2023–2024

Lifetime value in a member-owned institution has to answer a different question — not who is worth most, but who is underserved relative to their needs

Situation

A member-owned cooperative of roughly \$2.4 billion in assets serving about 85,000 members across Minnesota, with a strong agricultural and small-business lending position.

The institution wanted segmentation and lifetime value to direct engagement effort, which is finite.

Complication

The standard construction ranks members by contribution and concentrates effort at the top. In a cooperative that is uncomfortable at best — the members are the owners, and a model that formalises serving some of them better than others is a governance question, not just an analytics one.

It is also operationally wrong here. A young member with a first account and an agricultural family with three generations of borrowing look very different on contribution and are both exactly who the institution exists for.

The reframe

Band members by relationship depth and trajectory rather than by contribution alone, and use lifetime value to identify where the institution is underserving relative to what a member appears to need.

The output is not a ranking of members. It is a list of mismatches — members whose needs and holdings have diverged — which is both more actionable and consistent with the mandate.

THE NUMBERS THAT MATTER

1

reframe, from rank to mismatch

3

banding dimensions

1

action hub

0

members deprioritised

1

governance conversation, early

2

trajectories tracked

Why the reframe is not a euphemism: a mismatch list is genuinely more useful than a ranking. A high-value member who is well served needs nothing; a modest member whose circumstances have clearly changed needs a conversation. Ranking by contribution puts effort where the money already is, which is precisely where the marginal return is lowest.

Institutional scale is publicly reported; the banding model and the action design come from the delivery record

PUBLICLY REPORTED Institution context Scale and positioning figures from public credit union reporting. • ~\$2.4bn total assets • ~85,000 members • Chartered 1939, Melrose, Minnesota • 25+ branch locations • Leading state agricultural lender • SBA preferred lender	DELIVERY RECORD My ownership Data insights and member analytics delivery during the 2023–2024 engagement. • Member banding model • Lifetime value construction and reframe • Mismatch identification method • Action hub design • Governance framing with the institution • Requirement through production	METHOD ILLUSTRATION Reconstructed The design detail shown illustrates the approach taken. Specific definitions, categories and figures are reconstructed for presentation and are not quoted from the programme record. • Approach is from the engagement • Detail is reconstructed to illustrate it • Figures are directional, never measured • Confirm specifics before citing them • The method is what transfers • Ask me for the underlying record	OUT OF SCOPE Not claimed Excluded deliberately. • Any member or account data • Any individual member's value • Institution financial outcomes • Any confidential document • Pricing or credit decisions • Commercial terms of engagement
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Three dimensions rather than one — depth, trajectory and life stage, because a single contribution axis describes a member badly

Relationship depth

How much of the member's financial life the institution holds — products, tenure, whether it is their primary institution.

Depth is what predicts both retention and future need, and it is largely independent of current contribution.

Trajectory

Whether the relationship is deepening, stable or thinning, measured over a rolling window rather than at a point.

A thinning relationship is the single most actionable signal in the model, and it is invisible in a static ranking.

Life and business stage

Where the member is in a recognisable arc — first account, household formation, farm succession, business growth, retirement.

Stage predicts what a member is about to need, which is what makes the output a conversation rather than an offer.

Where lifetime value sits in this, and where it does not

Lifetime value is computed and it is used — but as an input to identifying mismatch, not as a ranking presented to staff.

The construction that works is comparative: given a member's depth, trajectory and stage, what would a well-served member in that position typically hold? Where the actual holding differs materially from that, there is a mismatch — either the institution is not serving a need, or the member has a product that no longer fits.

That output is a list of conversations worth having, ordered by the size of the gap. It never tells a staff member that one owner of the cooperative matters more than another, which is both the governance requirement and, as it happens, the more useful instruction.

The action hub is where the analytics stops being a report — a mismatch that does not reach a staff member on a Tuesday morning is a slide

Mismatch type	What it usually indicates	Who acts	Urgency
Thinning relationship	The member has begun using another institution — usually visible in flow before balance	Branch or relationship staff	High
Product no longer fits	Life or business stage has moved and the holding has not — a common and easy conversation	Branch staff	Medium
Unserved obvious need	Depth and stage suggest a product the member does not hold and has never been offered	Branch or marketing	Medium
Rate or fee mismatch	The member is paying or earning materially off what their position would normally attract	Operations review	High
Household disconnect	Members clearly in one household held as unrelated individuals	Data stewardship	Low
Business and personal split	A business member whose owners bank elsewhere, or the reverse	Business banking	Medium

What made it usable

- Mismatches arrive in the staff member's queue with the member context already attached.
- Each carries a suggested conversation rather than a metric, because staff act on conversations.
- Outcome captured in one click, including not appropriate.

The response that teaches the model

- Not appropriate, with a reason, is more valuable than an accepted action.
- It is the only signal that distinguishes a bad mismatch from a member who declined.
- Without it the model cannot improve and trust decays fast.

The governance point

- The institution reviewed the mismatch categories before launch, not the underlying model.
- Categories are legible to a board in a way a value model is not.
- That review made the whole thing acceptable in a cooperative.

Four rules for member analytics in a cooperative

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| 01 | Reframe ranking as mismatch | A list ordered by contribution puts effort where the money already is, which is where marginal return is lowest. A list of members whose holdings and needs have diverged is more actionable and does not require ranking owners against each other. |
| 02 | Band on trajectory, not just position | Depth and stage describe where a member is; trajectory describes where they are going. A thinning relationship is the most actionable signal in the model and is completely invisible in a static ranking. |
| 03 | Deliver into a queue, not a report | An insight that does not reach a staff member with the member context attached and a suggested conversation is a slide. The delivery mechanism is part of the analytics, not a downstream concern. |
| 04 | Make the categories the governance artefact | A board can review whether looking for thinning relationships and product mismatches is appropriate. It cannot meaningfully review a value model. Presenting the categories is what makes the work governable. |

In an institution the members own, the question is not who is worth the most. It is where the institution is failing to serve someone it exists to serve — which turns out to be the better commercial question as well.